

Smartphone. In general, these platforms can be thought of as independent, but in some implementations they overlap. For example, Series 60 phones can run J2ME applications. For various reasons, no one platform has emerged as the undisputed industry leader. While there may never be a single winner, the drive to create and own established development platforms will have a major impact on the mobile entertainment industry.

3. Network Infrastructure: Any wireless network has to meet six criteria to be suitable for mobile entertainment applications. These six are coverage, bandwidth, availability, capacity, transmission quality and security. Characteristics and constraints on network infrastructure will dramatically change during the next five years-through new technology deployments, increased usage and other factors. The ways in which they change, and the companies that control those changes, will have significant influence on the mobile entertainment industry.

4. Mobile Devices: The capabilities available on mobile devices are expanding and changing with every new product release. Functionality never previously associated with phones (e.g. cameras, games, radios) is becoming commonplace. The fundamental criteria for entertainment-capable devices-color screens, battery capacity, processing power and device memory-will not constrain their entertainment capabilities. Instead, the speed with which new capabilities can be incorporated into devices, the inventiveness of new product bundling, and the consumer preference for “converged” devices will drive the future mobile entertainment landscape.

Strategy Drivers in Mobile Entertainment

1. Consumer Demand: Before the current wave of downloadable content was widely available, technologies marketed as mobile entertainment did not attract large numbers of consumers. In 2001, only 12% of German mobile phone subscribers accessed data content¹. However, more recent mobile entertainment applications may have spurred demand. In 2002, 46% of German mobile customers surveyed listed “fun” as their biggest reason for using mobile data services. While most consumers view mobile data services as too expen-